



Microeconomics

ELASTICITY OF DEMAND

RELATIONSHIP BETWEEN PRICE ELASTICITY OF DEMAND & TOTAL EXPENDITURE

The price elasticity of demand for a good and the total expenditure made on the good are greatly related to each other. At times, it becomes important to determine the effect on the expenditure on a good due to change in price of the good. We know that the price of a good and the demand for the good are inversely related to each other. So, responsiveness of demand in relation to change in price (i.e. price elasticity of demand) determines the change in expenditure.

$$E_d > 1$$

- Elasticity is more than One ($E_d > 1$): When demand is elastic, a fall in the price of a commodity results in increase in total expenditure on it. On the other hand, when price increases, total expenditure decreases. It means, in case of highly elastic demand, price and total expenditure move in the opposite directions.

Price in (₹)	Quantity (in units)	Total Expenditure in (₹) (Price x Quantity)
5	100	500
4	140	560

Price ↓
20%

Expt ↑
40% D ↑



less elastic

Ed = 0.5, 0.6

- Elasticity is less than One ($E_d < 1$): When demand is inelastic, a fall in the price of a commodity leads to fall in total expenditure on it. On the other hand, when price increase total expenditure also increases. It means, in case of less elastic demand, price and total expenditure move in the same direction.

Price in (₹)	Quantity (in units)	Total Expenditure in (₹) (Price x Quantity)
5	100	500
4	120	480



Price ↓
20%



Exp ↓

5% D ↑

उदाहरण

- Elasticity is equal to One ($E_d = 1$): When demand is unitary elastic, a fall or rise in the price of the commodity does not change the total expenditure. It means, total expenditure will remain unchanged in case of unitary elastic demand.

Price in (₹)	Quantity (in units)	Total Expenditure in (₹) (Price x Quantity)
5	100	500
4	125	500



Price ↓
25%

Q ↑
25%

$E \times P = \text{Same}$

**THANK
YOU**

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